

Amendment No. 1 to HB2115

Crawford
Signature of Sponsor

AMEND Senate Bill No. 2581

House Bill No. 2115*

by deleting all language after the enacting clause and substituting:

SECTION 1. Tennessee Code Annotated, Title 6, Chapter 54, Part 1, is amended by adding the following as a new section:

6-54-153. Vacant property inventory program.

(a) The governing body of a municipality may adopt an ordinance to determine the number and condition of vacant properties within its jurisdiction and establish a vacant property inventory program and prescribe a vacant property inspection district that includes properties that are either deteriorated or in the process of deteriorating for purposes of ensuring compliance with applicable local housing, building, plumbing, electrical, fire, health, or related codes and to promote the health, safety, and welfare of its citizens. The vacant property inventory program must:

(1) Only include subject properties within a vacant property inspection district that has a defined percentage of vacant properties in a vacant property inventory; and

(2) Only apply to vacant properties within a proposed vacant property inspection district based upon a finding by the municipal governing body that:

(A) There is a need to protect the public health, safety, and welfare of the occupants inside the proposed vacant property inspection district;

(B) Five (5) or more properties within the proposed vacant property inspection district are either deteriorated or in the process of

deteriorating due to continued vacancies, or the individual units are in need of inspection by the municipality to prevent further deterioration, based on documentation by municipal inspectors, taking into account the number, age, and condition of vacant units inside the proposed vacant property inspection district; and

(C) The inspection of properties inside the proposed vacant property inspection district by municipal inspectors is necessary to maintain the health, safety, and welfare of tenants and other residents living in the proposed vacant property inspection district.

(b) This section does not authorize a municipality to adopt a municipality-wide vacant property inspection district, and a municipal governing body shall limit the boundaries of the proposed vacant property inspection district to the areas of the municipality that meet the criteria set forth in this section.

(c) For purposes of this section, the governing body of the municipality may designate a municipal department or agency to serve as the public authority to perform all or part of the inspection duties authorized by this section.

(d) If a municipality establishes a vacant property inventory district, then the municipality must establish a schedule of fees or special assessments that may be assessed against owners of inventoried properties to cover the costs of blight, fire, safety, and police monitoring associated with vacant properties within the inventory district, rather than passing those costs on to residents and small businesses who reside or operate outside of the vacant property inspection district. The vacant property inventory must include the contact information of the owners of the inventoried properties so that an owner of vacant property within the district may be contacted in cases of arson, break-in, litter, overgrowth, criminal activity, and other similar issues, or for the issuance of a standing "no trespassing" order. The fees and assessments collected from owners of properties within the vacant property inventory district must be

used to facilitate the maintenance of the inventoried properties and improvements to such properties, functioning as a base service charge that ensures owners of vacant properties contribute to the public safety and maintenance of inventoried properties when such properties are not generating jobs, housing, or sales taxes.

(e) Fees or special assessments assessed under this section:

(1) Must not be deemed a tax by the municipality. Such fees and assessments must be tied specifically to the costs of administering the vacant property inventory program for a vacant property inspection district; and

(2) Must only be assessed against owners of inventoried properties with vacant structures which lack utility services or occupancy for more than one (1) year. Vacant property fees or special assessments must not be assessed for a property for which an active building permit has been approved for renovations or that is actively listed for sale or lease at a fair market value for at least one (1) year from the date of permit issuance or listing for sale.

(f) The owner of a vacant property within a vacant property inspection district shall register the property and the owner's contact information with the municipality within thirty (30) days of the date such property becomes vacant and shall pay a fee or special assessment annually to the municipality to satisfy the costs of public safety, maintenance, inspections, and code enforcement in an amount of not more than five hundred dollars (\$500), according the schedule of fees or special assessments adopted by the municipality.

SECTION 2. The heading in this act is for reference purposes only and does not constitute a part of the law enacted by this act. However, the Tennessee Code Commission is requested to include the heading in any compilation or publication containing this act.

SECTION 3. This act takes effect July 1, 2026, the public welfare requiring it.